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MSFT US ■ PRICE USD390.5* ■ TARGET PRICE **USD549** (UPSIDE 41%)

FLASH NOTE

FQ4'26 First Take: Finally finding the growth vs. capex balance

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Research Analyst & Publishing Entities

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What happened?

Microsoft delivered a strong FQ4'26 print that, in our view, **marked an important step for Microsoft in achieving an equilibrium state where revenue growth can ultimately outpace capex growth as we continue to see compelling evidence Microsoft's AI engine is gaining momentum across both Azure and Copilot.** Notably, we estimate GitHub Copilot was a meaningful contributor to the FQ4 Azure outperformance, with management highlighting that the transition toward consumption-based pricing drove GitHub Copilot revenues up 60%+ q.q. As Microsoft extends similar usage-based monetization across the broader Copilot portfolio (i.e. Copilot Cowork), we believe the company has a credible path toward sustaining Azure growth at 40%+ while M365 Commercial Cloud accelerates into the high-teens revenue growth. And with this acceleration occurring alongside management effectively placing a ceiling on capital spend (at least for now), **we believe the combination of accelerating AI monetization and greater discipline around capital deployment is precisely the framework investors had been hoping for.**

While the initial share price reaction was relatively muted prior the conference call, despite Azure growing 43% CCY (vs. 39-40% guidance / buy-side expectations of ~41%) and Copilot seats surpassing 30m (as we highlighted in our Microsoft NDR recap: [Microsoft NYC NDR feedback – Copilot Takes Center Stage with big Q4 likely](#)), the **stock rallied +9% following management's outlook, highlighted by 45% Azure outlook for FQ1'27** (we outlined the potential for mid-40%+ Azure growth in our January deep dive: [The OpenAI Effect](#)).

And perhaps more importantly, **we believe management substantially reduced fears around a worst-case capital spending scenario.** While the company indicated FY27 would continue to 'grow,' **Microsoft expects to also remain FCF positive in FY27.** This effectively places an upper bound on the magnitude of capital investment for the upcoming fiscal year, where **we estimate Microsoft could generate ~\$220bn+ of operating cash flow (representing a practical 'ceiling' for cash capex).** Additionally, accounting changes associated with extending the useful life of datacenter buildings from 15 to 25 years will reclassify a portion of its finance leases (previously reflected in capex) into operating leases (not reflected in capex), potentially suggesting finance lease capex will be less material to the company's reported capex figures. In turn, this suggests FY27 capex is likely to land below our ~\$260bn all-in capex estimate.

Moreover, management guided for operating margin contraction of less than 1pt (broadly consistent with our expectations outlined [in our preview](#)), while also noting CY26 capex plans remain unchanged on an underlying basis (but are now expected to be \$175bn vs. \$190bn once reflecting the lease accounting changes). Finally, Microsoft provided additional insight into its OpenAI relationship in its 10-K, **noting OpenAI accounted for \$24.1bn of revenue in FY26** (or ~23% of Azure, by our estimate) and represented \$6bn of accounts receivable as of FY26 end.

Figure 1: Azure grew 43% CCY vs. Cons of 39.5% in FQ4'26, with guidance of 45% in FQ1'27 (vs. Cons of 41%)

Quarterly Results	Consensus updated on:	FQ4'26 Actual	FQ4'26 Guide	FQ4'26 Actual vs. High	FQ4'26 Cons.	FQ4'26 Actual vs. Cons.	FQ4'26 BNPP	FQ1'27 New Guide	FQ1'27 Cons.
Group Highlights									
Group Revenue		90,007	86,700 - 87,800	2.5%	87,723	2.6%	88,136	89,850 - 90,950	89,999
Growth y.y. - Reported		18.0%	13.4% - 14.9%		14.8%	+3.2pp	15.3%	15.7% - 17.1%	15.9%
Growth y.y. CCY		17.0%	12.9% - 14.4%		13.5%	+3.5pp	14.7%		14.9%
Gross Income - GAAP		60,482	57,300 - 58,200	3.9%	58,361	3.6%	58,727		59,417
Gross Margin - GAAP		67.2%	66.1% - 66.3%	+0.9pp	66.5%	+0.7pp	66.6%		66.0%
Operating Income - GAAP		40,603	38,000 - 38,800	4.6%	39,037	4.0%	39,399	43,450 - 44,250	42,805
Operating Margin - GAAP		45.1%	43.8% - 44.2%	+0.9pp	44.5%	+0.6pp	44.7%	48.4% - 48.7%	47.6%
Net Income		35,766			31,712	12.8%	31,859		34,778
EPS - Dil (GAAP)		4.81			4.25	13.2%	4.28		4.65
CFO		55,441			49,263	12.5%	49,937		54,413
Capex		(35,802)			(35,223)	1.6%	(33,492)		(45,045)
FCF		19,639			14,692	33.7%	16,445		9,530
Azure Growth y.y. - CCY		43.0%	39 - 40%		39.5%	+3.5pp	41.2%	45.0%	41.0%
Segment - Productivity & Business Process									
Revenue Segment - Productivity & Business Process		37,847	37,000 - 37,300	1.5%	37,235	1.6%	37,311	36,700 - 37,000	36,865
Growth y.y. - Reported		14.3%	11.7% - 12.6%	+1.7pp	12.5%	+1.9pp	12.7%	11.1% - 12.1%	11.6%
Growth y.y. - CCY		14%	10.7% - 11.6%	+2.4pp		+14.0pp			
Segment - Intelligent Cloud									
Revenue Segment - Intelligent Cloud		39,306	37,950 - 38,250	2.8%	38,171	3.0%	38,565	40,950 - 41,250	39,961
Growth y.y. - Reported		31.6%	27.0% - 28.0%	+3.5pp	27.8%	+3.8pp	29.1%	32.5% - 33.5%	29.3%
Growth y.y. - CCY		31%	27.0% - 28.0%	+3.0pp		+31.0pp			
Segment - More Personal Computing									
Revenue Segment - More Personal Computing		12,854	11,750 - 12,250	4.9%	12,167	5.6%	12,260	12,200 - 12,700	13,046
Growth y.y. - Reported		(4.4%)	(12.6%) - (8.9%)	+4.5pp	(9.5%)	+5.1pp	(8.9%)	(11.3%) - (7.7%)	(5.2%)
Growth y.y. - CCY		(5%)	(13.6%) - (9.9%)	+4.9pp	-	(5.0pp)	(9.9%)		-

Source: BNP Paribas Equity Research estimates, Company reports, Bloomberg Consensus

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD549)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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Stefan Slowinski BNP Paribas London
Branch

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	Counts	%*	Counts	%
Outperform (Buy)	698	51	168	24
Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

* Please note that the percentages might not add up to 100% because of rounding.

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Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price (closing price as of 29/07/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
16 Jul. 2026 05:26	+	USD549.00	USD401.10	TP down	S. Slowinski, D. Wang, K. Patton
30 Apr. 2026 22:42	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026 14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026 21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025 05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025 11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025 05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025 21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025 06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025 05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024 11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024 06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024 05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024 14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024 05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023 17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton
14 Aug. 2023 06:04	=	USD325.00	USD324.04	TP down	S. Slowinski, L. Lu, K. Patton
26 Jul. 2023 08:06	=	USD361.00	USD337.77	TP down	S. Slowinski, L. Lu, K. Patton
19 Jul. 2023 06:04	=	USD365.00	USD355.08	TP up	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

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